Question 1: Solution

Question 1

Substantive analytical review (SAR)

Note: Credit would be given for a reasonable approach to calculating expectations for each category and consequential errors would not lose marks.

	All figures in £'000 unless otherwise noted	**Expectation £000**
1.	Culinary powders 20X0 revenue = 35,349 Add: Average price increase of 2% from 1 January 20X1 35,349 x 2% x 7/12 = £412 **(1 mark)** Less: Lost sales to hospitality industry: 20,010 x 40% x 6/12 = (£4,002) **(1 mark)**	31,759 **(1 mark)**
2.	Speciality flours 20X0 revenue = 3,281 Add price increase of 5% from 1 August 20X0 3,281 x 5% = 164 **(1 mark)** New contract 3 months 500k = 500 **(1 mark)**	3,945 **(1 mark)**
3.	Taste masking 20X0 revenue = £2,587 Add 15% increase in volume of sales 15% x 2,587 = 388 **(1 mark)** Less refund for contaminated goods (106) **(1 mark)**	£2,869 **(1 mark)**
4.	Yeast extracts 20X0 revenue 14,362 Increase in sales prices 3% from 1 December 20X0 3% x 8/12 x 14,362 = 287 **(1 mark)** Less rebates paid: Q4 due to Quicky Meals 2% of 125 + 4% of (390 - 250) = (8) **(2 marks)** Q4 due to Readymade Desserts 2% of 125 + 4% of (487-250) = (12) **(2 marks)**	14,629 **(1 mark)**
5.	Enzymes 20X0 revenue 8,784 Increase in sales volumes – 20% 20% x 8,784 = 1,757 **(1 mark)** New product revenue: 35% of forecast = 35% x 1,850 = 648 **(1 mark)**	11,189 **(1 mark)**
6.	Chestnut USA 20X0 revenue USD 17,650 Price increase of 4% from 1 January 20X1 4% x 17,650 x 7/12 = 412 **(1 mark)** Forecast sales in USD = 18062 **(1 mark)** Translate to GBP using average rate for year of $1.26: £1	14,335 **(1 mark)**

The difference between actual and expected revenue is as follows:

	Expectation £000	Actual £000	Difference £000
Culinary products	31,759	32,011	252
Speciality flours	3,945	4,170	225
Taste masking	2,869	3,007	138
Yeast extracts	14,629	14,701	72
Enzymes	11,189	11,260	71
Chestnut USA	14,335	14,296	(39)

(1 mark)

Conclusion

Tolerable error is £45,000. As the difference between our expectation and the actual expense for Chestnut USA is less than our tolerable error, no further analysis is required on this revenue. (1 mark) However, the differences for all other income streams are greater than the tolerable error, therefore, further analysis is required.

(1 mark)

Question 2

Analysis of reasons for variance

Culinary powders

Our expectation includes an average price increase of 2%. However, the actual price increases range from 1% to 7%, **(1 mark)** which may impact the accuracy of our calculation. **(1 mark)**

Given the fall in sales to food manufacturers in the hospitality sector, **(1 mark)** there may have been a changein sales mix which would have an impact on overall revenue. **(1 mark)**

Speciality flours

Revenue from speciality flours is higher than our expectation, which could be due to recognising

£250k received each month from May to July (£750k) from South-East Bakeries (South-East) **(1 mark)** ratherthan deferring £250k **(1 mark)** as a result of only £500k of sales actually being made in this period. **(1 mark)**

This would result in revenue from specialty flours being overstated. **(1 mark)**

Taste masking

Revenue may be higher than our expectation due to an increased overall demand from products usedin over-the-counter painkillers. **(1 mark)** However, there is a risk that the contaminated goods returned in August 20X1 have not been accounted for correctly, **(1 mark)** resulting in revenue from taste masking being overstated. **(1 mark)**

Yeast extracts

This is the first time that a rebate scheme has been used by the company **(1 mark)** and there is a risk thatthese have not been accounted for correctly in the ledger. **(1 mark)**

The company may also not have recognised the rebates payable in quarter 4 within the financial statements, **(1 mark)** resulting in yeast revenue being overstated. **(1 mark)**

Enzymes

Revenue is higher than our expectation, which is unusual given that a new product launched in theyear has struggled.

(1 mark)

There was a surge in sales in July 20X1 which may account for this increase.

(1 mark) However, this followed the implementation of a new commission scheme **(1 mark)** and there is a risk that false sales have been recorded in order to increase bonus payments **(1 mark)** and enzyme revenue is overstated. **(1 mark**)

Total marks available (20 marks)

Question 2: Solution

Question 1

Substantive analytical review (SAR)

Note: Credit would be given for a reasonable approach to calculating expectations for each category and consequential errors would not lose marks.

Fruit & Veg's expected payroll costs for the year can be calculated using prior year actual average payroll information adjusted for changes in employee numbers and other factors.

	£	£	Source
Factory wages			
November 20X4 – January 20X5			
3 months @ £17,541 x 112 (actual) staff	491,148	**(1 mark)**	1
February 20X5 – October 20X5			
Average number of staff over 3 quarters (92 + 110 + 131) / 3 = 111 **(1 mark)**			2
9 months @ (£17,541 x 104%) x 111 staff	1,518,700	**(2 marks)**	3
	2,009,848		
Christmas bonus £100 x 112 staff	11,200	**(1 mark)**	3
		2,021,048	
Salaried staff			
November 20X4 – January 20X5			
3 months @ £25,700 x 23 (actual) staff	147,775	**(1 mark)**	1
February 20X5 – October 20X5			
Average number of staff over 3 quarters(23 + 24 + 25) / 3 = 24 **(1 mark)**			2
9 months @ (£25,700 x 103%) x 24 staff	476,478	**(2 marks)**	3
	624,253		
Christmas bonus £100 x 23 staff	2,300	**(1 mark)**	3
		626,553	
		2,647,601	
Pension contributions			
(Factory wages and salaries, excluding Christmas bonus)			
(£2,009,847 + £624,253) x 5%	131,705	**(2 marks)**	3
Employer national insurance contributions			
(Total wages and salaries (excluding pension contributions) less secondary threshold)			
13.8% x (£2,647,601 - (135* x £9,100))	195,836	**(2 marks)**	4

* Represents average employee numbers for the year:
((112 + 23) + (92 + 23) + (110 + 24) + (131 + 25)) / 4 = 135

The difference between actual and expected payroll is:

	Actual	Expected	Difference
	£	£	£
Factory wages	2,230,000	2,021,048	208,952
Salaries	665,300	626,553	38,747
Pensions	130,000	131,705	(1,705)
Employer's national insurance	237,000	195,836	41,164

(1 mark)

Conclusion

Tolerable error is £20,000. As the difference for factory wages, salaries and employer's national insurance is greater than tolerable error, **(1 mar**k) further analysis and corroboration is required. **(1 mark)**

Question 2

Analysis of reasons for variance

Factory staff payroll

For factory workers, an incorrect number of employees may have been used in calculating the expected payroll figure. **(1 mark)** The average of the quarter-end number of employees may not give an accurate average number of employees within each quarter due to joiners and leavers **(1 mark)** or temporary casual workers not employed at the quarter end and therefore omitted from the figures. **(1 mark)** As a result, the expected payroll figure may be too low. **(1 mark)**

Long service bonuses

Management has advised that long service bonuses are paid to employees with 5 years' service. **(1 mark)** We have not included any long service bonuses in our calculations **(1 mark)** and the effect of payment of these bonuses would be to increase the overall payroll cost for the year. **(1 mark)**

Pay awards

The annual pay award of 3% for salaried staff and 4% for factory workers may not have been correctly applied **(1 mark)** to all staff members at the correct date. **(1 mark)**

Average factory wages

The use of average factory wages does not take into account:

- Any significant overtime costs paid during peak months (eg pre-Christmas 20X4 and January 20X5) **(1 mark)** as minimal overtime was paid in 20X4. **(1 mark)**
- Turnover of workforce, as this may affect the appropriateness of the average wage hourly rate
- used. **(1 mark)** This may have the effect of increasing or decreasing the average hourly rate **(1 mark)** depending on the experience of the individual replacement employee. **(1 mark)**

New staff

Two new salaried office employees taken on during the year (per Q3 and Q4 increases) may have annual salaries higher than the average of £25,700, **(1 mark)** resulting in a higher salary cost for the year. **(1 mark)**

The new salaried employees may have started with Fruit & Veg at the beginning of the quarter **(1 mark)** and this would result in actual higher payroll costs **(1 mark)** over the year than the SAR. **(1 mark)**

Contributions

Employer's national insurance and pension per the SAR are too low **(1 mark)** as these are derived from a payroll costs figure which is too low. **(1 mark)**